KAFF'S ENERGY STRIPS

Comprehensive Commercial Blueprint: Unit Economics, Distribution Channels & Operational Procedures (D2C Website vs. Amazon vs. Blinkit / Zepto)

EXECUTIVE BRIEF: This blueprint provides a complete unit economics model, fee structure, and distribution roadmap for **KAFF'S Energy Strips**. It evaluates the two core SKUs (**Pack of 5 @ ■229** and **Pack of 10 @ ■399**) across three critical sales channels: **1) Own D2C Website (Prepaid via UPI/Cards with Shiprocket delivery)**, **2) Amazon India (Easy Ship Pan-India fulfillment)**, and **3) Quick Commerce (Blinkit & Zepto 10-minute dark store supply)**.

1. PRODUCT SPECIFICATIONS & PRODUCTION COSTS (COGS)

SKU Name	Retail Selling Price (MRP)	Manufacturing Cost	Packaging / Finishing	Total Product Cost (COGS)
Pack of 5 Strips	**■229.00**	■40.00	■15.00	**■55.00**
Pack of 10 Strips	**■399.00**	■65.00	■35.00	**■100.00**

2. MASTER UNIT ECONOMICS & PROFIT MARGIN COMPARISON

Direct comparison of revenues, deductions, logistics costs, and in-hand net profits across channels. **Note: COD is disabled on D2C website** to guarantee zero RTO returns and zero courier cash-collection surcharges.

Cost / Revenue Component	Own Website Pack of 5	Own Website Pack of 10	Amazon IN Pack of 5	Amazon IN Pack of 10	Blinkit/Zepto Pack of 5	Blinkit/Zepto Pack of 10
Customer Price (MRP)	**■229.00**	**■399.00**	**■229.00**	**■399.00**	**■229.00**	**■399.00**
Product Cost (Making + Box)	-■55.00	-■100.00	-■55.00	-■100.00	-■55.00	-■100.00
Platform / Commission Fee	-■5.40 (2.36%)	-■9.42 (2.36%)	-■20.61 (9%)	-■35.91 (9%)	-■80.15 (35%)	-■139.65 (35%)
Fixed Closing / Transaction Fee	■0.00	■0.00	-■12.00	-■26.00	■0.00	■0.00
Customer Delivery / Shipping Fee	-■55.00	-■55.00	-■75.00	-■75.00	■0.00 (Borne by app)	■0.00 (Borne by app)
Outer Packaging / Flyer & Label	-■8.00	-■8.00	-■5.00	-■5.00	-■4.00 (Bulk crt)	-■5.00 (Bulk crt)
GST on Shipping & Platform Fees	Included	Included	-■19.37 (18%)	-■24.64 (18%)	Included	Included
SMS / WhatsApp Tracking Alerts	-■0.60	-■0.60	■0.00	■0.00	■0.00	■0.00
TOTAL DEDUCTIONS	**-■124.00**	**-■173.02**	**-■186.98**	**-■266.55**	**-■139.15**	**-■244.65**
NET IN-HAND PROFIT	**■105.00**	**■225.98 (~■226)**	**■42.02 (~■42)**	**■132.45 (~■132)**	**■89.85 (~■90)**	**■154.35 (~■154)**
Net Margin (% of MRP)	**45.9%**	**56.6%**	**18.3%**	**33.2%**	**39.2%**	**38.7%**

CORE FINANCIAL INSIGHTS:

• **Own D2C Website generates the highest cash margin:** You make ■**226 net profit** on every Pack of 10 (vs. ■132 on Amazon and ■154 on Blinkit/Zepto).

• **Pack of 10 is your 'Hero SKU':** The fixed shipping cost (■55) is identical for both packs. Selling Pack of 10 gives **2.15x more cash profit** per dispatch than Pack of 5.

• **No COD Strategy Saves ■65–■100/order:** Eliminating COD removes the ■35 courier handling charge and protects you from the 20–30% industry-wide Return-to-Origin (RTO) loss.

3. CHANNEL 1: OWN WEBSITE SETUP & FULFILLMENT (D2C)

How the end-to-end payment and delivery infrastructure operates for your live site.

A. Payment Gateway Architecture (Razorpay)

- **Security Compliance:** Payments cannot be captured directly in frontend React. The frontend requests order creation from a backend API, which securely calls Razorpay using private merchant credentials.
- **Payment Methods:** Instant UPI (Google Pay, PhonePe, Paytm, CRED), NetBanking, and Debit/Credit Cards. Standard fee: 2% + 18% GST (2.36% effective).
- **Settlement Timeline:** T+2 business days direct into your Indian Current Account.
- **Prepaid Verification:** Webhooks verify payment status before pushing orders into packing queue.

B. Logistics & Courier Fulfillment (Shiprocket Aggregator)

- **Multi-Courier Access:** Shiprocket aggregates Delhivery, Blue Dart, DTDC, Shadowfax, and Xpressbees under one dashboard.
- **Weight Slab Economics:** Strips weigh < 50g, but couriers bill at the minimum **500g slab**. Pan-India average cost is ■50–■60 + GST (~■55).
- **Operational Fulfillment Cycle:**
  1. **Order Received:** Customer completes payment on website. Order details appear in your dashboard.
  2. **Packaging:** Pack strips in tamper-evident courier flyer / mailer box (cost: ~■6–■8).
  3. **AWB & Shipping Label:** Click 'Generate Label' in Shiprocket. Print thermal barcode sticker with address (cost: ~■1.50).
  4. **Courier Pickup:** Schedule pickup. Courier executive scans and picks up parcels from your doorstep.
  5. **Automated Tracking:** Automated SMS/WhatsApp notifications sent to customer with real-time tracking links.

4. CHANNEL 2: AMAZON INDIA (EASY SHIP / FBA)

Amazon is ideal for volume, organic customer discovery, and buyer trust.

A. Fee Structure Breakdown (Health & Nutrition / Dietary Supplements)

- **Referral Fee:** 9% on gross selling price for consumable health items.
- **Closing Fee:** Fixed fee tiered by item price (■12 for items under ■250; ■26 for items between ■251–■500).
- **Weight Handling (Easy Ship):** National delivery fee of ~■75 per 500g parcel.
- **GST on Fees:** 18% GST applies to all referral, closing, and shipping fees deducted by Amazon.

B. Fulfillment Models: Easy Ship vs. FBA

- **Amazon Easy Ship (Recommended for Startups):** Stock is kept at your office. Amazon's logistics van picks up parcels directly from your premises daily.
- **Amazon FBA (Fulfillment by Amazon):** Send bulk cartons to an Amazon Fulfillment Center. Grants the coveted **Prime Badge** (1–2 day delivery), which increases conversions by up to 3x.

5. CHANNEL 3: QUICK COMMERCE (BLINKIT, ZEPTO, INSTAMART)

Quick commerce operates on 10-minute micro-warehouses ('dark stores') distributed across urban residential hubs.

A. Commercial & Operating Model

- **Wholesale Margin:** Quick commerce requires a **30% to 40% trade discount off MRP** (industry standard: 35%).
- **Zero Last-Mile Courier Fee:** The platform absorbs all last-mile rider and fuel costs. You only pay bulk freight to their Central Distribution Center (Mother Hub) (~■3 to ■5 per box).
- **Payment Cycle:** B2B credit terms of **30 to 45 days** after Purchase Order (PO) receipt and GRN (Goods Receipt Note) verification.
- **In-App Advertising:** Brands typically allocate 5%–10% of revenue to in-app sponsored search placements to maintain sales velocity.

B. Mandatory Legal & Compliance Gateways

1. **FSSAI License:** Valid FSSAI registration/license for dietary/caffeinated supplements (both manufacturer & marketer).
2. **GS1 EAN-13 Barcodes:** Official scannable barcode registered with GS1 India printed on every retail box.
3. **NABL Lab Test Report (COA):** Certificate of Analysis verifying nutritional claims, caffeine purity, and safety tests.
4. **Legal Metrology Packaging:** Clear display of Batch No., Mfg/Exp dates, Veg/Non-veg icon, MRP, Net quantity, and consumer helpline.
5. **Shelf Life Requirement:** Products must have at least **70%–80% remaining shelf life** upon arrival at the Mother Hub.

6. STEP-BY-STEP ONBOARDING PLAYBOOK (BLINKIT & ZEPTO)

The fastest industry-tested process to get vendor approval and launch on quick-commerce dark stores:

Step	Action Item	Key Deliverables / Tactics
Step 1	**Documentation Readiness**	Active GST certificate, FSSAI license, GS1 barcode registration, and NABL lab test report.
Step 2	**1-Page Pitch Deck (Sell Sheet)**	Highlight: Impulse format, high-energy category, compact storage footprint, 35% margin to platform, and social proof.
Step 3	**Direct Category Manager Outreach**	Connect with *'Category Manager - Health & Wellness / Impulse'* on LinkedIn. Cold forms take months; direct sample kits to HQ expedite approvals.
Step 4	**Commercial Agreement**	Sign master vendor contract (35% margin, 30–45 day payment cycle, damage/expiry replacement terms).
Step 5	**Initial Purchase Order (PO)**	Platform issues trial PO (e.g. 200–500 units for Delhi NCR or Mumbai hub). Dispatch master cartons to Mother Hub.
Step 6	**Dark Store Distribution & Go-Live**	Platform algorithm stocks local dark stores. Product goes live for 10-minute consumer delivery.

7. STRATEGIC GROWTH & PRICING RECOMMENDATIONS FOR KAFF'S

1. Implement a Delivery Fee Threshold on Your Website:
• Currently, selling Pack of 5 at ■229 with free shipping leaves ■105 profit.
• **Action:** Charge a **■40 delivery fee** on orders under ■300 (Customer pays ■229 + ■40 = ■269). This increases Pack of 5 profit from **■105 to ■145**.
• Offer **FREE SHIPPING exclusively on the Pack of 10 (■399)**. This immediately pushes 70%+ of website visitors to choose the ■399 pack!

2. Strategic Multi-Channel Role Allocation:
• **Own Website:** Maximize profits (■226/unit on Pack of 10), collect customer WhatsApp numbers/emails, and build subscription bundles.
• **Amazon:** Focus on discovery and scale. Run Amazon Sponsored Product ads on keywords like *'caffeine strips'*, *'energy booster'*, *'pre-workout'*.
• **Blinkit & Zepto:** Capitalize on **impulse purchases** (late-night studying, pre-gym energy, long work shifts) where instant 10-minute delivery is king.

8. IMMEDIATE LAUNCH CHECKLIST

[ ] **Step 1:** Sign up for **Razorpay** merchant account (needs PAN, GST/Business details, Bank Account).
[ ] **Step 2:** Sign up for **Shiprocket** account and load ■1,000 initial courier credits.
[ ] **Step 3:** Procure 100 pcs tamper-proof courier bags (size 6x8 inch) and 50 A4 thermal sticker sheets (~■600 total).
[ ] **Step 4:** Register 2 barcodes on **GS1 India** (1 for Pack of 5, 1 for Pack of 10).
[ ] **Step 5:** Keep NABL Lab Report (COA) and active FSSAI certificate on file for Amazon & Quick Commerce onboarding.